AEROSPACE & DEFENSE

"Moin moin" from the East and West Coast

28 SEPTEMBER 2026
Sector Research Report
Production time: 07:11* (London time)
Research Analysts & Publishing Entities

Sebastian Growe
BNP Paribas SA
(+49) 69 4272 97323
sebastian.growe@bnpparibas.com

Stephan Klepp, CFA
BNP Paribas London Branch
(+44) 734 573 1907
stephan.klepp@uk.bnpparibas.com

Following our European tour in the week of 14 Sep we continued in the U.S. last week meeting another c.30 investors. Contrary to Europe, we spent about half of the time on the Civil part of our coverage universe this time around (vs. ~20% as per our in-person meetings in Europe). Like Europe, we found limited pushback on the defense sector, albeit limited appetite to add or build a position either. The most discussed single stocks were Rolls-Royce, Airbus, and MTU among the Civil names, and Rheinmetall, BAE, and Leonardo in Defense – see the more detailed company discussion inside.

Big picture – politics, politics, politics

Unsurprisingly, and following the recent state elections in Germany (in 2 admittedly smaller states with a population of c.2m each), which saw material wins by right-wing AfD at 44% and 37% of all votes casted, as well as the upcoming national elections in France next year, the majority of meetings started with our views on the political environment. While the jury is out, we take a constructive view on Germany for the time-being as neither are there any elections due at the national level before 2029 nor does AfD's stance on defense call for a U-turn wrt the current course of action, in our view. For France, the situation looks more opaque, yet we note that – if it wasn't for a shift to the (far) left that might challenge the status quo – any eventual changes are unlikely to be disruptive, in our view.

Defense – on the watch list for now, longevity in focus

While the bigger topics did not necessarily differ from our earlier discussions in Europe (roadblocks and catalysts or clearing events, high-low tech. debate), we found stronger interest in the longevity of defense spending as well as potential competition from Eastern Europe and/or Asia.

Civil – genuine attraction or a good place to hide, for now?

Key debates were broadly the same, e.g. our preference for aftermarket over airframers vs. the impact from oil at ≥$100/barrel vis-a-vis potential retirement risk, with the next generation single-aisle aircraft an increasingly popular theme with ducted considered more likely than an open fan concept.

Key valuation metrics

	Stock Rating	Price* (LC)	TP / Upside		Mkt cap (EURm)	P/E (x) CY26e	P/E (x) CY27e	EV/EBITA (x) CY26e	EV/EBITA (x) CY27e	ESG Rating
Airbus	(=)	192.4	210.0	9%	152,435	26.4	22.3	18.2	15.2	
BAE Systems(1)	(=)	1,972.0	2,100.0	6%	68,343	23.9	20.8	17.8	15.6	
CSG	(+)	15.1	24.0	59%	15,082	12.8	10.4	10.0	8.1	
Dassault Av.	(+)	292.6	350.0	20%	22,842	20.6	16.2	10.2	7.1	
Hensoldt	(=)	75.9	83.0	9%	8,762	44.2	33.7	26.3	20.9	
Leonardo	(+)	49.0	67.0	37%	28,231	20.3	16.4	16.4	12.9	
Melrose	(-)	474.0	450.0	-5%	6,876	13.8	11.9	12.3	10.5	
MTU Aero	(+)	369.9	425.0	15%	19,895	21.8	18.7	17.2	14.5	
Rheinmetall(1)	(+)	982.4	1,600.0	63%	45,557	27.5	19.3	18.1	12.9	Average
Rolls-Royce(1)	(+)	1,481.4	1,750.0	18%	142,126	35.8	31.0	24.4	20.8	
Safran	(=)	336.3	350.0	4%	139,580	31.8	25.9	21.4	18.6	
Thales	(=)	229.4	260.0	13%	47,243	21.8	18.4	15.9	13.5	

** Closing prices at 25 September 2026 (1) BNPP also covers the ADRs of these companies.*

See page 8 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies.
BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Civil

Airbus (=, TP €210): Following the pullback in the share price since Airbus' business update in July and the related introduction of its €12-13bn adj. EBIT target by 2029, several investors wanted to get our views for that very correction; we attribute this to a travel and arrive pattern as the case has moved to show me, also as July / August deliveries have failed to impress, which is due to idiosyncratic reasons though. Similar to our discussions with investors in Europe, the almost exclusive focus lies on the Commercial Aircraft (CA) segment, while neither the initiated Bromo Space JV with Leonardo and Thales nor admittedly strong momentum in Defense has fetched any relevant interest, not to mention the company's Helicopters business. For CA, the key focus is on the stability of the supply chain – particularly in regard to the A350 platform, any relevant head- or tailwinds from pricing and mix (incremental adj. EBIT by platforms, potential self-help related to integration of Spirit).

Melrose (-, TP GBp 450): Interest in Melrose has been higher than expected. Investors understand that 2025 and 2026's cash generation is significantly impacted by the GTF's powder metal issue and the Garden Grove plant incident (see MELROSE INDUSTRIES: Garden Grove, Garden Grove, Garden Grove...). Hence, the underlying cash generation is significantly masked. Positive signs for turning the corner are seen in (A) the FCF generation of GBP13m in H1 2026 after GBP-54m in H1 2025 – the first time the company reported a positive cash generation in its first half, and (B) the announcement of a USD100m compensation pool for the residents who were impacted by the Garden Grove incident. The latter is interpreted as the lion share of the cost related to the overheating of the chemical tank (no spillage, no damage, no injuries), which means we leave maximum uncertainty behind. Melrose remains a high risk-high reward case, where investor debates loomed around the sustainable cash generation potential.

MTU Aeroengines (+, TP €425): Since summer, interest in our case for MTU (phase out of GTF-related AOGs getting closer, impact from elevated spare engine sales rather overrated, narrowing of valuation discount to Safran more likely upon delivery on envisaged improvement in cash conversion) has been on the rise. We note that both the more recent trajectory in FCF generation (H126: €294m, LTM Q226: €460m) has supported that increased confidence level, not least as MTU would be trading on a c.5% FCF yield when backing out the remaining >€0.2bn in cash compensation payments related to the previously mentioned AOGs. This year's CMD (on 30 November) is considered a relevant catalyst with not least a more granular EBIT-FCF walk by 2030 among the key expectations into the event besides potentially introducing interim targets to be more aligned with other engine providers such as Safran (mid-term targets based on 2028) or airframers such as Airbus ('29 based).

Rolls-Royce (+, TP GBp 1,750): Rolls-Royce remains a well-liked and broadly owned stock in civil aerospace. Our investor discussions related to the margin and cash flow potential not only for 2026, but also for the mid-term (see ROLLS-ROYCE: Short- and mid-term guidance appear too low). Buy-side expectations are clearly skewed towards more upgrades given the strong performance of the Defence and Power Systems division in H1 2026. Therefore, we discussed the drivers of the strong performance of the two divisions as well as the mid-term potential. The main attraction is the direct link between the performance of the two divisions and the group's cash generation. With regard to Civil Aerospace, the margin potential has been discussed most frequently, particularly in contrast to the higher margins of GE Aerospace and Safran. In these conversations, the connection between LTSA margins, Time on Wing initiatives and cultural change in the organization have been debated the most. Lastly, the desired re-entry into the narrowbody market and the potential scenarios with regard to timeline and costs have been a focal point. Broadly speaking the re-entry is seen positive, but some wary views on its impact on cash generation and profitability likewise exist.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Safran (=, TP €350): Safran remains a very well-liked name among most U.S. investors we met during our trip. Yet, we also acknowledge that the buyside considers valuation relatively full, with the debate dominated by the potential retirement risk paired with any eventual changes to volume, work scope and pricing as well as the company's ability to defend adj. EBIT margins at the guided 22-24% level in the Propulsion segment. Against that backdrop and given that the sellside has already settled at adj. EBIT of €8.2bn vs. the earlier raised guidance of €7.0-7.5bn (from €6.0-6.5bn prior), we sense that investors feel less inclined to chase the stock at the current level. Lastly, we had intense debates in regard to the next generation single-aisle aircraft and how this might impact Safran.

Figure 1: Civil aerospace peer group overview – selected trading multiples

LC	EV (EURm)	Mcap (EURm)	CP (LC)	EV/SALES 2026e	EV/SALES 2027e	EV/SALES 2028e	EV/EBIT 2026e	EV/EBIT 2027e	EV/EBIT 2028e	P/E 2026e	P/E 2027e	P/E 2028e	FCF yield 2026e	FCF yield 2027e	FCF yield 2028e
I) Europe															
Airbus SE*	129,297	152,435	192.40	1.63x	1.43x	1.23x	18.2x	15.2x	12.0x	26.4x	22.3x	18.6x	2.6%	3.2%	4.6%
Dassault Aviation SA*	8,364	22,842	292.60	0.96x	0.73x	0.69x	10.2x	7.1x	6.2x	20.6x	16.2x	13.8x	-1.7%	-0.7%	0.4%
Melrose Ind. PLC*	9,609	6,884	474.00	2.20x	2.04x	1.86x	12.3x	10.5x	8.8x	13.8x	11.9x	9.7x	1.7%	3.6%	6.5%
Montana Aerospace AG	1,565	1,448	23.10	1.45x	1.24x	1.07x	15.8x	11.6x	8.9x	20.4x	14.6x	11.7x	n/a	n/a	n/a
MTU Aero Engines AG*	20,433	19,895	369.90	2.13x	1.81x	1.52x	17.2x	14.5x	12.3x	21.8x	18.7x	16.5x	2.3%	3.7%	5.0%
OHB SE	3,580	3,728	179.00	2.37x	1.88x	1.36x	36.2x	22.5x	14.7x	n/a	35.0x	23.5x	n/a	n/a	n/a
Rolls-Royce PLC*	128,084	142,293	1,481	4.56x	4.00x	3.60x	24.4x	20.8x	18.5x	35.8x	31.0x	27.8x	3.1%	3.9%	4.5%
Safran SA*	135,137	139,580	336.30	3.70x	3.30x	2.90x	21.4x	18.6x	15.7x	31.8x	25.9x	22.2x	3.4%	3.3%	3.9%
Median - I) Europe				**2.13x**	**1.81x**	**1.36x**	**18.2x**	**15.2x**	**12.3x**	**21.8x**	**22.3x**	**16.5x**	**2.5%**	**3.4%**	**4.6%**
II) US															
Boeing Co/The*	170,534	137,624	198.07	2.04x	1.64x	1.39x	n/a	28.5x	17.2x	n/a	42.8x	21.5x	1.5%	4.4%	7.0%
General Electric Co*	312,541	301,549	327.09	7.04x	6.27x	5.70x	31.5x	27.9x	25.1x	39.1x	35.1x	31.6x	2.6%	2.9%	3.1%
HEICO Corp*	41,496	37,734	308.53	8.87x	8.04x	7.29x	33.8x	30.9x	27.6x	44.9x	41.2x	37.2x	2.1%	2.5%	2.8%
Howmet Aerospace Inc*	85,186	81,625	232.48	9.68x	8.40x	7.41x	33.0x	27.2x	23.4x	43.0x	35.8x	31.0x	2.0%	2.4%	2.8%
RTX Corp*	256,639	224,822	189.40	3.04x	2.81x	2.58x	22.7x	20.6x	18.3x	26.7x	25.1x	22.4x	3.2%	3.9%	4.3%
Textron Inc	15,528	11,566	76.59	1.05x	1.01x	0.97x	11.4x	10.5x	9.7x	11.9x	10.5x	9.6x	n/a	n/a	n/a
TransDigm Group Inc*	85,472	56,808	1,116	9.29x	8.15x	7.35x	19.9x	16.9x	14.8x	29.6x	25.3x	21.8x	3.9%	4.3%	5.0%
Median - II) US				**7.04x**	**6.27x**	**5.70x**	**27.1x**	**27.2x**	**18.3x**	**34.3x**	**35.1x**	**22.4x**	**2.4%**	**3.4%**	**3.7%**
III) ROW															
Bombardier Inc	26,249	32,334	322	2.48x	2.24x	n/a	21.1x	18.2x	n/a	22.1x	21.9x	19.4x	n/a	n/a	n/a
Embraer SA	69,142	12,780	79	1.71x	1.50x	1.32x	16.7x	15.5x	13.4x	n/a	n/a	n/a	n/a	n/a	n/a
Median - III) ROW				**2.09x**	**1.87x**	**1.32x**	**18.9x**	**16.8x**	**13.4x**	**22.1x**	**21.9x**	**19.4x**	**n/a**	**n/a**	**n/a**

*Source: Bloomberg for NC stocks, BNP Paribas Equity Research estimates; * closing prices as of 25 September 2026*

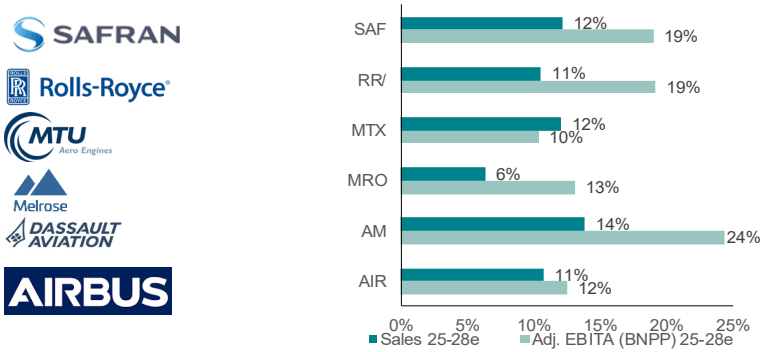
shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Figure 2: BNPP civil aerospace coverage universe

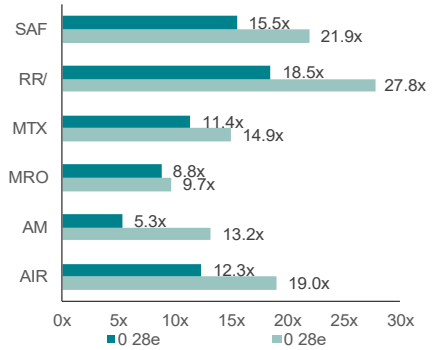
Our relative preferences reflect the respective risks & opportunities related to a given business model, while we square our PEG ratio approach with an assessment of the respective FCF yield

KPI	AIRBUS	DASSAULT AVIATION	Melrose	MTU Aero Engines	Rolls-Royce	SAFRAN
Rating & TP						
Recommendation	Neutral	Outperform	Underperform	Outperform	Outperform	Neutral
Target price	EUR 210	EUR 350	GBPp 450	EUR 425	GBPp 1750	EUR 350
Upside to TP	9%	20%	-5%	15%	18%	4%
Consensus						
# recs, Buy/Sell %	30 / 77% / 3% 77%	18 / 50% / 6% 50%	16 / 69% / 13% 69%	25 / 60% / 12% 60%	22 / 82% / 5% 82%	25 / 56% / 8% 56%
Analysts' TP, u/s	231 20%	377 29%	653 38%	412 11%	1,767 19%	384 14%
Profile						
Snapshot						
Profile*	#1 commercial AC & helicopter OEM	Leading fighter jet & business jet OEM	Supplier engine / aerostructures parts	Leader in engine parts, MRO specialist	WB engine #1, defense prop. systems	NB engine #1, leader in AC equip. & int.
Sales mix						
Civil/defense (%)	2025: ~85-90/10-15	2025: ~40/60	2025: 65/35	2025: ≥90/≤10	2025: 70/30	2025: ~80/20
EMEA/Ame./RoW	2025: 50% / 20% / 30%	2025: 34% / 11% / 54%	2025: 32/65/3	2025: 19% / 71% / 10%	2025: 46/31/23	2025: 23% / 48% / 29%
KPIs and valuation						

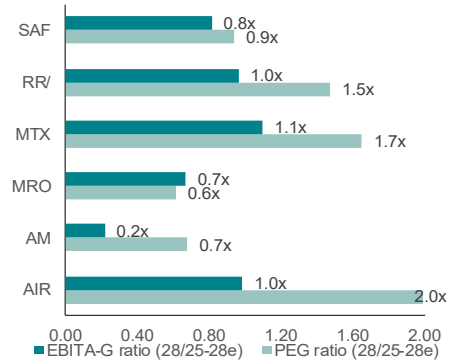
Sales and adj. EBITA CAGR 25-28e



EV/EBITA and P/E 2028e



EBITA- & price/earnings-growth ratio*



Key financials (LC m)	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e
Sales	73.4	79.4	88.1	99.7	7.4	8.7	9.8	11.0	3.6	3.8	4.0	4.3	8.8	9.6	10.9	12.3	21.2	24.2	26.7	28.6	31.3	36.5	40.0	44.2
Adj. EBITA (BNPP)	7.1	7.1	wa	10.2	0.6	0.8	1.0	1.2	0.6	0.7	0.8	0.9	1.1	1.2	1.4	1.5	3.3	4.5	5.1	5.6	4.9	6.3	7.1	8.2
% sales	9.7%	8.9%	9.4%	10.2%	8.6%	9.4%	10.2%	11.2%	17.6%	17.9%	19.4%	21.2%	13.0%	12.4%	12.5%	12.4%	15.6%	18.7%	19.2%	19.5%	15.5%	17.3%	17.8%	18.5%
FCF margin	6.4%	5.1%	5.6%	7.1%	21.7%	-4.3%	-1.6%	0.8%	2.5%	2.7%	5.3%	9.0%	2.3%	4.9%	6.9%	8.2%	14.6%	15.9%	17.3%	18.3%	12.1%	13.1%	11.7%	12.6%
Valuation	**25**	**26e**	**27e**	**28e**	**25**	**26e**	**27e**	**28e**	**25**	**26e**	**27e**	**28e**	**25**	**26e**	**27e**	**28e**	**25**	**26e**	**27e**	**28e**	**25**	**26e**	**27e**	**28e**
EV/EBITA (adj.)	16.7x	18.7x	15.6x	12.3x	11.1x	9.0x	6.1x	5.3x		12.3x	10.5x	8.8x	17.3x	16.0x	13.5x	11.4x		24.4x	20.8x	18.5x	22.6x	21.1x	18.3x	15.5x
P/E (adj.)	22.5x	26.9x	22.7x	19.0x	22.1x	19.7x	15.5x	13.2x		13.8x	11.9x	9.7x	19.8x	19.7x	16.9x	14.9x		35.8x	31.0x	27.8x	33.2x	31.4x	25.6x	21.9x
FCF yield	3.4%	2.6%	3.2%	4.5%	7.5%	n/a	n/a	0.4%		1.7%	3.6%	6.5%	1.1%	2.5%	4.1%	5.5%		3.1%	3.9%	4.5%	3.4%	3.5%	3.4%	4.0%

Source: Bloomberg, Company data, BNP Paribas Equity Research estimates

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Defense

BAE Systems (=, TP GBp 2,100): US investors continue to like BAE Systems (see BAE SYSTEMES: Fully loaded, fully priced). The favorable stock's performance versus US and Continental European defense peers was particularly inquired by investors. We continue to argue that BAE's exposure to defense budgets of the UK (where current defense procurement spending is rather at minimum levels) and the US (where BAE is positively positioned in high profile programmes with low cut potential) has benefitted the share price from the start of the year. Investors were curious about larger potential orders such as for the CV90 tank and Eurofighter demand from the Middle East. The status quo of GCAP (i.e. 6th generation fighter jet) was discussed with Canada having become an observer to the programme and Germany potentially joining after the Franco-German initiative for a new fighter jet failed. We got the sense that BAE remains favored investment vehicle to have broad exposure to NATO re-armament and all domains (i.e. land, sea, air, cyber, space) – although the stock has closed its valuation gap to US defense primers.

CSG (+, TP €24): Similar to Thales (see below), we notice that CSG has come up in the one or the other meeting, which we mainly attribute to the rollercoaster trajectory that the shares have been going through since the listing in January this year. At the same time, we conclude from the discussion that investors remain wary in regard to the duration of the restocking cycle in the M/L Ammo business, any potential risk to sentiment if/when negotiations around a ceasefire or peace deal resurface, and not least whether one can give the company credit for the envisaged quintupling of their Land Systems business over the next years. Lastly, disclosure is still seen critically at this point, which explains why investors are rather sitting on the sidelines.

Leonardo (+, TP €67): While not unknown, we sense that Leonardo is overall under-owned in the U.S. at this stage. Having said this, we have repeatedly sketched why we most recently upgraded Leonardo in our latest sector note on 10 September. We see the attraction of the case is based on the following 3 pillars mainly: 1) with c. 50% of revenues exposed to Defence Electronics Solutions that in turn are not least driven by platforms offering multi-year visibility for upgrades besides its strong position in fighter jets helicopters, Leonardo appears to be somewhat shielded from the high-low tech. debate; 2) relative attraction after c.30% pullback from peak, which has pushed its PEG ratio down to 0.6x in '28e and which was largely driven by the earlier mgmt. reshuffling – the prior CEO stepping down and the prior CFO equally having left the company this year, with, however, both successors having left a truly good impression on capital markets, in our view; 3) potentially positive EPS revisions, thus following the pattern over the last three years, while consensus continues to track Leonardo's through 2030 targets as per its Industrial Plan (IP) '26-30.

Rheinmetall (+, TP €1,600): The one-line summary is: high risk-high reward (potential) after an almost 50% correction from the earlier all-time high of €1,989 that was marked on 29 September, 2025. While the investor community remains split between supporters and those expressing a lack of comfort in either the longevity of the current offering beyond 2030 and not least poor track record in communication/ guiding the potential outcome of relevant landmark deals (e.g. F126 cancellation, Boxer Arminius saga), we also sense that there are few to no short sellers at this stage. As such, investors remain wary of the budget approval in Germany for '27 (end Nov.), the company's CMD on 26-27 November in Hamburg as part of the buyside expects Rheinmetall to trim its 2030 targets down following the mentioned F126 cancellation and the slower than earlier expected progress in the Boxer ramp up (on 9 Dec.). Once these events were to result in a better than feared outcome, we would think that the stock can work again given generally decent interest on both sides of the pond, while we acknowledge that the 2030+ and not least 2035+ debate needs to be properly addressed at this year's CMD.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Thales (=, TP €260): While not having taken much of airtime during our meetings, we, however, note that Thales was brought up by investors from time to time with the overall mood skewed to the positive side. Expectations for a more structural uplift of the top-line growth ambition in Defence is quite broad-based (and does not necessarily differ from what we heard in Europe before) with the question rather how far mgmt. might take it and we note that the sellside has settled at about 12%, which is in line with the 12-13% OSG Thales has been able to achieve over the last c. 3 years through H126. At the same time, uncertainty rests with the company's aftermarket business in Avionics mirroring concerns around how flight schedules might trend from here as a consequence of the spike in jet fuel prices. Lastly, investors are equally wary in regard to the outcome from elections in France in spring 2027, and while Thales might (well) compensate via a stronger export business, there are concerns that the stock will trade on the headline exposure (FY25 sales contribution from France: 28%, H126: 27%).

Figure 3: Defense peer group overview – selected trading multiples

LC	EV (EURm)	Mcap (EURm)	CP (LC)	EV/SALES 2026e	EV/SALES 2027e	EV/SALES 2028e	EV/EBIT 2026e	EV/EBIT 2027e	EV/EBIT 2028e	P/E 2026e	P/E 2027e	P/E 2028e	FCF yield 2026e	FCF yield 2027e	FCF yield 2028e
I) Defence Europe															
BAE Systems PLC	69,954	68,424	1,972	1.92x	1.71x	1.53x	17.8x	15.6x	13.6x	23.9x	20.8x	18.1x	3.9%	4.2%	4.8%
Chemring Group PLC	1,870	1,663	536	2.97x	2.60x	2.25x	20.0x	16.7x	13.8x	27.2x	22.9x	19.0x	n/a	n/a	n/a
CSG NV*	19,270	15,082	15.08	2.56x	2.12x	1.76x	10.0x	8.1x	6.5x	12.8x	10.4x	8.7x	5.6%	6.0%	8.4%
Dassault Aviation SA*	8,364	22,842	292.60	0.96x	0.73x	0.69x	10.2x	7.1x	6.2x	20.6x	16.2x	13.8x	-1.7%	-0.7%	0.4%
Exosens SAS*	3,326	3,164	62.30	5.94x	5.19x	4.72x	22.6x	19.6x	17.5x	29.9x	25.4x	23.4x	1.2%	3.0%	3.7%
Hensoldt AG*	9,290	8,762	75.86	3.33x	2.83x	2.32x	26.3x	20.9x	15.9x	44.2x	33.7x	25.1x	2.2%	2.2%	3.0%
Kongsberg Gruppen ASA	25,307	25,393	312.70	6.56x	4.36x	3.26x	39.2x	24.0x	17.2x	43.6x	29.2x	21.4x	n/a	n/a	n/a
Leonardo SpA*	30,887	28,231	48.98	1.42x	1.26x	1.06x	16.4x	12.9x	10.7x	20.3x	16.4x	14.2x	4.3%	5.0%	5.9%
QinetiQ Group PLC	3,114	2,928	489	1.34x	1.33x	1.26x	15.2x	12.0x	10.8x	24.0x	14.4x	12.9x	n/a	n/a	n/a
RENK Group AG*	4,384	4,059	40.59	2.84x	2.39x	1.91x	15.9x	12.7x	9.7x	24.7x	19.5x	14.8x	3.4%	4.2%	4.5%
Rheinmetall AG*	46,704	45,557	982	3.41x	2.55x	1.86x	18.1x	12.9x	9.2x	27.5x	19.3x	13.6x	5.1%	2.9%	5.1%
Saab AB	28,758	29,155	622.70	3.40x	2.77x	2.33x	31.4x	24.6x	19.9x	41.4x	32.4x	26.3x	n/a	n/a	n/a
Thales SA*	45,357	47,243	229.40	1.91x	1.71x	1.50x	15.9x	13.5x	11.5x	21.8x	18.4x	16.4x	5.9%	5.1%	5.7%
Median - I				**2.84x**	**2.39x**	**1.86x**	**17.8x**	**13.5x**	**11.5x**	**24.7x**	**19.5x**	**16.4x**	**3.9%**	**4.2%**	**4.8%**
II) Defence US															
General Dynamics Corp*	84,063	79,886	336.72	1.72x	1.59x	1.46x	15.6x	14.0x	12.6x	18.9x	17.1x	15.6x	5.4%	4.7%	5.4%
L3Harris Technologies In	45,948	38,892	237.69	2.22x	2.01x	1.79x	13.2x	12.0x	10.5x	15.8x	14.6x	12.9x	6.9%	7.2%	7.8%
Lockheed Martin Corp*	120,215	104,982	519.56	1.69x	1.59x	1.47x	13.9x	12.8x	12.1x	16.7x	15.2x	14.3x	5.9%	5.8%	6.3%
Northrop Grumman Corp	67,991	63,697	510.52	1.75x	1.61x	1.47x	16.6x	15.1x	13.8x	17.6x	16.9x	15.5x	4.4%	4.9%	5.2%
RTX Corp*	256,639	224,822	189.40	3.04x	2.81x	2.58x	22.7x	20.6x	18.3x	26.7x	25.1x	22.4x	3.2%	3.9%	4.3%
Median - II				**1.75x**	**1.61x**	**1.47x**	**15.6x**	**14.0x**	**12.6x**	**17.6x**	**16.9x**	**15.5x**	**5.4%**	**4.9%**	**5.4%**
III) Defence Global															
Bharat Electronics Ltd	25,180	25,957	388	n/a	8.61x	7.30x	40.1x	31.5x	26.6x	46.6x	40.5x	34.4x	n/a	n/a	n/a
Elbit Systems Ltd	30,146	30,243	735	n/a	n/a	n/a	n/a	n/a	n/a	45.4x	40.0x	34.5x	n/a	n/a	n/a
Hindustan Aeronautics L	24,774	29,001	4,738	7.92x	7.18x	5.82x	31.1x	29.6x	23.4x	34.7x	31.6x	27.4x	n/a	n/a	n/a
Larsen & Toubro Ltd	54,188	48,297	3,835	2.19x	2.03x	1.73x	25.1x	22.6x	18.6x	33.1x	26.1x	21.5x	n/a	n/a	n/a
Median - III				**5.05x**	**7.18x**	**5.82x**	**31.1x**	**29.6x**	**23.4x**	**40.1x**	**35.8x**	**30.9x**	**n/a**	**n/a**	**n/a**

*Source: Bloomberg for "NC" stocks, BNP Paribas Equity Research estimates; * closing prices as of 25 September 2026*

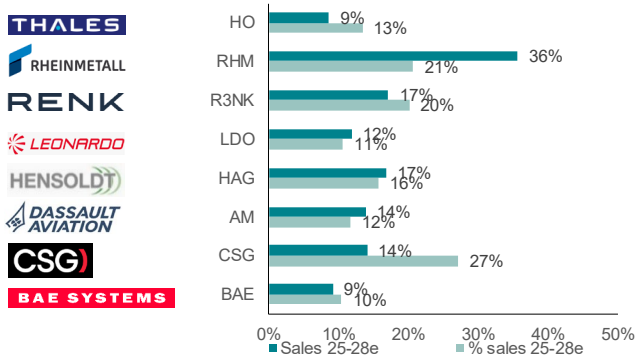
shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Figure 4: BNPP defense coverage universe

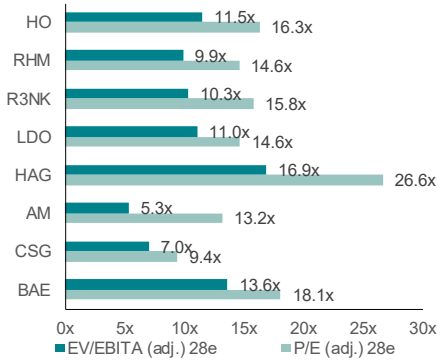
While a simple P/E multiple comparison based on 2028 does not point to significant differences (except for CSG), our focus on the PEG ratio backs our positive view on eg LDO and RHM

KPI	BAE SYSTEMS	CSG	DASSAULT AVIATION	HENSOLDT	LEONARDO	RENK	RHEINMETALL	THALES
Rating & TP								
Recommendation	Neutral	Outperform	Outperform	Neutral	Outperform	Neutral	Outperform	Neutral
Target price	GBPp 2100	EUR 24	EUR 350	EUR 83	EUR 67	EUR 50	EUR 1600	EUR 260
Upside to TP	6%	59%	20%	9%	37%	23%	63%	13%
Consensus								
# recs, Buy/Sell %	22 / 82% / 5% 82%	16 / 81% / 13% 81%	18 / 50% / 6% 50%	17 / 41% / 12% 41%	22 / 77% / 0% 77%	20 / 90% / 0% 90%	28 / 86% / 0% 86%	23 / 61% / 4% 61%
Analysts' TP, u/s	1,767 -10%	25 69%	377 29%	92 21%	69 42%	64 58%	1,600 63%	297 29%
Profile								
Snapshot								
Profile*	Eur. leader in Air/Sea, top 3 in DE	#2 artillery OEM, #1 small calibre OEM	Leading fighter jet & business jet OEM	Leading pure play in defence electronics	Leading DE supplier & helicopter OEM	#1 transmissions/ top3 suspensions*	Europe's #1 in ammo, lead in TV/ES**	Leading def. electr. & aero supplier
Sales mix								
Defence/civil	2025: ~95/5	~80/20	~60/40	~95/5	~90/10	~70/30	~100/0	~50/50
EMEA/Ame./RoW	2025: ~47/47/6	70% / 17% / 13%	34% / 11% / 54%	94% / 3% / 3%	65% / 23% / 12%	47% / 24% / 29%	87% / 8% / 5%	71% / 12% / 17%
KPIs and valuation								

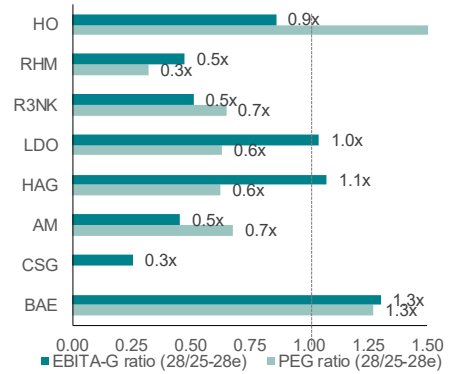
Sales and adj. EBITA CAGR 25-28e



EV/EBITA and P/E 2028e



EBITA- & price/earnings-growth ratio*



Key financials	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e
Sales	28.3	31.3	34.1	36.8	6.7	7.5	8.8	10.0	7.4	8.7	9.8	11.0	2.5	2.8	3.2	3.9	19.5	22.2	24.9	27.3	1.4	1.5	1.8	2.2	9.9	13.7	18.4	24.8	22.1	23.8	25.9	28.4
Adj. EBITA (BNPP)	3.1	3.4	3.7	4.1	1.69	1.93	2.30	2.68	0.64	0.82	1.00	1.22	0.27	0.35	0.44	0.57	1.76	1.89	2.33	2.71	0.23	0.28	0.34	0.43	1.73	2.57	3.63	5.03	2.66	2.86	3.27	3.69
% sales	10.8%	10.8%	10.9%	11.2%	25.0%	25.6%	26.3%	26.8%	8.6%	9.4%	10.2%	11.2%	11.0%	12.6%	13.6%	14.5%	9.0%	8.5%	9.4%	9.9%	16.9%	17.8%	18.8%	19.7%	17.4%	18.8%	19.7%	20.3%	12.0%	12.0%	12.6%	13.0%
FCF margin	7.6%	7.4%	7.3%	7.5%	-6.8%	13.5%	12.3%	15.3%	21.7%	-4.3%	-1.6%	0.8%	8.5%	6.8%	5.8%	6.8%	4.5%	5.8%	6.1%	6.7%	4.7%	8.8%	9.5%	8.3%	13.7%	17.8%	7.6%	10.2%	10.6%	11.7%	9.3%	9.6%

*Source: Bloomberg, Company data, BNP Paribas Equity Research; * TV = tactical vehicles, ** ES = Electronic Solutions*

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES

Analyst Certification

We, **Sebastian Growe, Stephan Klepp**, hereby certify that all of the views expressed in this report accurately reflect our personal view(s) about the company or companies and securities discussed in this report. No part of our compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

Non-US Research Analyst Disclosure

The research analysts named below were involved in preparing this research report. They are not associated persons of BNP Paribas Securities Corp. and thus they are not registered or qualified in the U.S. as research analysts with the Financial Industry Regulatory Authority (FINRA) or the New York Stock Exchange (NYSE). These non-U.S. analysts are not subject to FINRA Rule 2241 concerning communications with a subject company, public appearances and trading securities held by a research analyst account.

Sebastian Growe	BNP Paribas SA	Stephan Klepp	BNP Paribas London Branch

Research Analyst Compensation

The research analyst(s) responsible for the preparation of this report receive(s) compensation based upon various factors including overall firm revenues, which include revenues from investment banking activities and/or sales and trading activities.

Research Analyst-Specific Disclosures

The table immediately below indicates if the research analyst(s) responsible for the preparation of this report (or members of their household) has/have certain conflicts of interest relating to the subject company/ies.

Company/ies	Relevant Disclosures
/	

1 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst has/have a financial interest in the securities of the subject company/ies indicated in the above table.
2 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst serve(s) as an employee, officer, director, or advisory board member of the subject company/ies indicated in the above table.
3 – The research analyst(s) responsible for the preparation of this report received compensation from the subject company/ies in the past twelve months.
4 – The research analyst(s) responsible for the preparation of this report has a material conflict of interest with respect to the subject company/ies, which has not already been identified under 1, 2 or 3 above.

BNP Paribas-Specific Disclosures

BNP Paribas SA and/or each of its relevant branches and affiliates including, without limitation, TEB Yatirim Menkul Degerler ("TEB Investment") and/or BNP Paribas Securities Corp. (collectively, and/or, individually, "BNPP" or "BNP Paribas"), has relationships with many companies. The numbered disclosures below identify relationships that BNPP has with the subject company/ies that must be disclosed under applicable rules.

Company/ies	Ticker/s	Relevant Disclosures
/		

1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.
2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.
3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.
4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.
5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.
6 – BNPP is a market maker in the securities of the subject company/ies.
7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.
8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.
9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.
10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.
11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.
12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.
13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.
14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.
15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.
16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.
17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Explanation of Research Ratings

Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

Not Covered (NC): BNPP does not cover this company.

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 27 August 2026 BNP Paribas covered 1398 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	730	52	163	22
Neutral (Hold)	465	33	105	23
Underperform (Sell)	203	15	38	19

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".
In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies).

For policies for managing conflicts of interest in relation to investment research, go to COI_investement_research.pdf (cib.bnpparibas).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on https://cube.cib.bnpparibas/slink/sk6Eke49cthXazXo.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on http://cube.cib.bnpparibas.

BNP Paribas does not set a predetermined frequency for publication and intends to update research reports as it deems appropriate, based on developments affecting the subject company, the sector or the market.

Legal Entity/ies Responsible for the Production of Research

This report is produced by the publishing entity/ies identified on the cover page which is/are member company/ies of the BNPP group of companies. Please refer to the Legal Entity Disclosures and Country-/Regional-Specific Disclosures for their relevant competent authority/ies.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Legal Entity Disclosures and Country-/Region-Specific Disclosures

Abu Dhabi Global Market (ADGM): This report constitutes an Exempt Communication or is not otherwise subject to the financial promotion restriction in accordance with the Financial Services and Markets Regulation of the ADGM. It is intended for distribution only to persons of a type specified in that regulation. It must not be delivered to, or relied on by, any other person. The Financial Services Regulatory Authority (FSRA) does not accept any responsibility for the content of the information included in this report, including the accuracy or completeness of such information. The FSRA has also not assessed the suitability of the products or services to which this report relates to any particular investor or type of investor. If you do not understand the contents of this report or are unsure whether the products or services to which this report relates are suitable for your individual investment objectives and circumstances, you should consult an authorised financial adviser.

Australia: This report is being distributed in Australia by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043 and therefore subject to regulation by the Australian Securities & Investments Commission in relation to delivery of financial services. By accepting this document, you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients (in terms of the Corporations Act 2001, sections 761G and 761GA; Corporations Regulations 2001, division 2, reg. 7.1.18 & 7.1.19) and/or professional investors (as defined in section 9 of the Corporations Act 2001). BNP Paribas Securities (Asia) Limited provides financial services in Australia in reliance on the relief under Australian Securities & Investment Commission Corporations (Amendment) Instrument 2022/623. BNPP Sec (Asia) Limited is exempt from the requirement to hold an Australian Financial Services Licence; and is regulated by the Securities and Futures Commission under Hong Kong laws, which differ from Australian laws.

Bahrain: This report is being distributed in Bahrain by BNP Paribas Conventional Wholesale Bank Bahrain, a branch of BNP Paribas S.A. whose head office is in Paris, France (Registered Office: 16 boulevard des Italiens, 75009 Paris, France). BNP Paribas Conventional Wholesale Bank Bahrain is licensed and regulated as a Registered Institution by the Central Bank of Bahrain. This report does not, nor is it intended to, constitute an offer to issue, sell or acquire, or solicit an offer to sell or acquire any securities or to enter into any transaction. The Central Bank of Bahrain assumes no responsibility for the accuracy and completeness of the statements and information contained in this report and expressly disclaims any liability whatsoever for any loss howsoever arising from reliance upon the whole or any part of the contents of this report.

China: BNP Paribas Securities (China) Limited is a qualified securities investment consultancy firm registered with the China Securities Regulatory Commission.

European Economic Area (EEA): This report is being distributed in the EEA by BNP Paribas S.A. ("BNPP SA") and/or BNP Paribas Financial Markets SNC. BNPP SA is incorporated in France with limited liability (Registered Office: 16 boulevard des Italiens, 75009 Paris, France, 662 042 449 RCS Paris, www.bnpparibas.com). BNPP SA is authorised and supervised by the European Central Bank ("ECB") and by the Autorité de Contrôle Prudentiel et de Résolution ("ACPR") in respect of supervision for which the competence remains at national level, in terms of Council Regulation n° 1024/2013 of 15 October 2013 conferring specific tasks on the ECB concerning policies relating to the prudential supervision of credit institutions. BNPP SA is authorised and regulated by the Prudential Regulation Authority and by the Autorité des Marchés Financiers ("AMF") in France. BNP Paribas Financial Markets SNC is an unlimited liability company, whose registered office is 160/162 boulevard Macdonald 75019 Paris, registered with the Paris Trade and Companies Registry under number 394 895 833. It is authorised and supervised by the ACPR and the AMF in France. This report is intended for distribution in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions.

Hong Kong: This report is prepared for professional investors and is being distributed in Hong Kong by BNP Paribas Securities (Asia) Limited. BNP Paribas Securities (Asia) Limited, a subsidiary of BNP Paribas, is regulated by the Hong Kong Securities and Futures Commission for the conduct of dealing in securities, advising on securities, dealing in futures contracts and advising on corporate finance. BNP Paribas Securities (Asia) Limited accepts full responsibility for the contents of this report. For professional investors in Hong Kong, please contact BNP Paribas Securities (Asia) Limited (address: 63/F Two International Finance Centre, 8 Finance Street, Central, Hong Kong; tel:2909 8888; fax: 2845 2232) for all matters and queries relating to this report.

India: In India, this report is being distributed by BNP Paribas Securities India Private Limited ("SIPL"), having its registered office at 8th floor, 1 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai 400 051, INDIA (Tel. no. +91 22 4672 4000 / 6196 4000, Fax no. +91 22 6196 4363). SIPL is registered with the Securities and Exchange Board of India ("SEBI") as a research issuing entity; and as a stockbroker in the Equities and the Futures & Options segments of the National Stock Exchange of India Limited ("NSE") and BSE Limited and in the Currency Derivatives segment of NSE (SEBI regn. nos.: INZ000161834, INH000000792; CIN: U74920MH2008FTC182807; Website: SIPL webpage). Compliance Officer: Karen Claude D'Souza, Tel: +91 22 6196 4000, E-mail: karen.dsouza@asia.bnpparibas.com. Registration granted by SEBI and certification from National Institute of Securities Market in no way guarantee performance of the research issuing entity or provide any assurance of returns to investors. No material disciplinary action has been taken against SIPL by any regulatory or government authority. SIPL or its associates may have received compensation or other benefits for brokerage services or for other products or services, from the company/ies that has/have been rated and/or recommended in the report and/or from third parties. SIPL or its associates may have debt holdings in the subject company/ies. Please refer to the disclosures on the SIPL webpage. Please also refer to the terms and conditions and additional research related local regulatory disclosures on our webpage.

Indonesia: This report is being distributed to Indonesia-based clients by the publishing entity/ies shown on the front page of this report. Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstances which constitute an offering within the meaning of Indonesian capital market laws and regulations.

Israel: BNP Paribas is not licensed under Israel's Regulation of Investment Advising, Investment Marketing and Portfolio Management Law, 5755-1995 (the "Advice Law") and does not carry insurance pursuant to the Advice Law. This report is only intended for those categories of Israeli residents who are qualified clients listed on the First Addendum to the Advice Law.

Japan: This report is being distributed in Japan by BNP Paribas and/or a branch, subsidiary or affiliate of BNP Paribas that is not registered as a financial instruments firm in Japan. This report is provided for information purposes only and it is not intended to solicit any orders for securities transactions. While we believe that the data and information contained in this report is obtained from reliable sources, we do not guarantee the accuracy or completeness of such data and information.

Jersey: An investment in the securities that are the subject of this report is only suitable for sophisticated investors who understand the risks involved in acquiring such an investment. Neither BNP Paribas nor the activities of any functionary with regard to this report are subject to all the provisions of the Financial Services (Jersey) Law 1998.

Kingdom of Saudi Arabia: This report may not be distributed in the Kingdom except to such persons as are permitted under the Rules on the Offer of Securities and Continuing Obligations issued by the Capital Market Authority. The Capital Market Authority does not make any representation as to the accuracy or completeness of this report, and expressly disclaims any liability whatsoever for any loss arising from, or incurred in reliance upon, any part of this report. Prospective purchasers of securities in the company/ies that are the subject of this report should conduct their own due diligence on the accuracy of the information herein relating to the subject company/ies. If you do not understand the contents of this report, you should consult an authorised financial advisor.

New Zealand: BNP Paribas SA is not a registered bank in New Zealand and does not have a place of business in New Zealand. This report is directed only to wholesale investors/clients (as defined in the Financial Markets Conduct Act 2013) and is not intended for retail investors/clients. By accepting this document you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients. This report is being distributed in New Zealand by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

Oman: BNP Paribas neither has a registered business presence nor a representative office in Oman and does not undertake banking business or provide financial services in Oman. Consequently BNP Paribas is not regulated by either the Central Bank of Oman or Oman's Financial Services Authority. No authorization, licence or approval has been received by BNP Paribas from the Financial Services Authority or any other regulatory authority in Oman, to provide such advice or service within Oman. BNP Paribas does not solicit business in Oman and does not market, offer, sell or distribute any financial or investment products or services in Oman and no subscription to any securities, products or financial services may or will be consummated within Oman. The recipient of this material represents that he/she is a sophisticated investor (as described in Article 139 of the Executive Regulations of the Capital Market Law) and has such experience in business and financial matters that he/ she is capable of evaluating the merits and risks of investments. The investor acknowledges that an investment in securities is speculative and involves a high degree of risk.

Qatar: This report is not intended to constitute an offer or provision of Advisory, M&A and Research services under the laws of Qatar. This report has not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. In addition, this report is not intended to constitute an offer, sale or delivery of financial products under the laws of Qatar. Securities in the company/ies that is/are the subject of this report have not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. Securities in the company/ies that is/are the subject of this report are not and will not be traded on the Qatar Stock Exchange.

Singapore: This report is being distributed in Singapore by BNP Paribas, acting through its Singapore Branch, and may be distributed in Singapore only to an Accredited or Institutional Investor, each as defined under the Financial Advisers Regulations ("FAR") and the Securities and Futures Act 2001 of Singapore, as amended from time to time. In relation to the distribution to such categories of investors, BNP Paribas, acting through its Singapore Branch, and its representatives are exempted under Regulation 35 of the FAR from the requirements in Section 45 of the Financial Advisers Act 2001 of Singapore, regarding the disclosure of certain interests in, or certain interests in the acquisition or disposal of, securities, securities-based derivatives contracts or units in a collective investment scheme, referred to in this report. For Institutional and Accredited Investors in Singapore, please contact BNP Paribas, acting through its Singapore Branch (company registration number: S71FC2142G; address: 10 Collyer Quay, 34/F Ocean Financial Centre, Singapore 049315; tel: (65) 6210 1288; fax: (65) 6210 1980) for all matters and queries relating to this report.

South Africa: BNPP is a bank incorporated in France with a local branch registered with the South African Reserve Bank and registered as an external company in terms of the South African Companies Act, 2008 . BNPP is an authorised Financial Services Provider (FSP 44610) and subject to regulation by the Financial Services Board and South African Reserve Bank. It is also a licensed member of the Johannesburg Stock Exchange. BNPP does not expressly or by implication represent, recommend or propose that the information and/or financial products referred to in this report are appropriate to the particular investment objectives, financial situation or particular needs of the recipient. This document further does not constitute advice (whether financial, legal, tax or otherwise) as contemplated in the Financial Advisory and Intermediary Services Act, 2002.

South Korea: This report does not constitute an offer to sell to or the solicitation of an offer to buy from any person any financial products in the Republic of Korea ("Korea"). The distribution of this report in Korea or to residents of Korea is not and shall not be construed as provision of investment advice in Korea. This report is not directed to, or intended for distribution to or use by, any person or entity in Korea where such distribution, publication, availability or use would be contrary to laws or regulations of Korea.

Switzerland: This report is intended solely for customers who are "Qualified Investors" as defined in article 10 paragraphs 3 and 4 of the Federal Act on Collective Investment Schemes of 23 June 2006 and the relevant provisions of the Federal Ordinance on Collective Investment Schemes of 22 November 2006. "Qualified Investors" includes, among others, regulated financial intermediaries such as banks, securities traders, fund management companies and asset managers of collective investment schemes, regulated insurance institutions as well as pension funds and companies with professional treasury operations. This report may not be suitable for customers who are not Qualified Investors and should only be used and passed on to Qualified Investors. For specification purposes, a "Swiss Corporate Customer" is a client which is a corporate entity, incorporated and existing under the laws of Switzerland and which qualifies as a "Qualified Investor" as defined above." BNP Paribas (Suisse) S.A. is authorised as a bank and as a securities dealer by the Swiss Financial Market Supervisory Authority. This report is being distributed in Switzerland by BNP Paribas (Suisse) S.A., registered at the Geneva commercial register under No. CHE-102.922.193. BNP Paribas (Suisse) S.A. is incorporated in Switzerland with limited liability. Registered Office: 2, place de Hollande, 1204 Geneva, Switzerland.

Taiwan: This report is being distributed to Taiwan-based clients by BNP Paribas Securities (Taiwan) Co., Ltd or by a subsidiary or affiliate of BNP Paribas. The information is being distributed to professional investors and for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decision. Information on securities that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities. BNP Paribas Securities (Taiwan) Co., Ltd. may not execute transactions for clients in these securities. This publication may not be distributed to the public media or quoted or used by the public media without the express written consent of BNP Paribas. The recipient(s) should not provide the reports to others, including but not limited to related parties, affiliated companies and any other third parties, or engage in any activities in connection with the reports which may involve conflicts of interests.

Türkiye: This report is being distributed in Türkiye by TEB Yatırım (TEB YATIRIM MENKUL DEĞERLER A.Ş., İnkılap Mahallesi Sokullu Caddesi No:7B Ümraniye 34768 , İstanbul, Türkiye, trade register number: 358354, www.tebyatirim.com.tr). All kinds of investment services and activities including this research report obtained by persons residing in Türkiye, including investment firms, on their own initiative, from financial institutions residing abroad, and accounts opened at such institutions, and cash and other assets transferred to such accounts, and transactions fulfilled on these accounts are out of the scope of the COMMUNIQUÉ ON PRINCIPLES REGARDING INVESTMENT SERVICES, ACTIVITIES AND ANCILLARY SERVICES (III-37.1), provided that activities such as promotion, advertisement and marketing are not intended for persons residing in Türkiye. For the purposes of the application of the preceding paragraph, any cases such as opening a workplace in Türkiye, creation of a web site in Turkish, and intending advertisement and marketing activities directly and/or through persons or institutions residing in Türkiye with respect to investment services provided by the institutions residing abroad, shall be deemed to be intended for the persons residing in Türkiye, and relevant provisions of the legislation shall apply. Additional criteria on determination as to whether the activities are intended for persons residing in Türkiye shall be determined by the Capital Markets Board of Türkiye. BNP Paribas S.A. and TEB Yatırım may engage in providing such services (including the distribution of this report) locally with in the condition that parties should sign an agreement including the services to be provided and terms and conditions of the services and obtain required permissions from local regulators if necessary. Otherwise, all such activities by BNP Paribas S.A. should be on a "reverse inquiry" basis.

United Arab Emirates (excluding the Dubai International Financial Centre (DIFC) and the Abu Dhabi Global Market (ADGM): In accordance with Decision No (13/R.M) of 2021 on the Financial Activities Rulebook and Mechanisms of Adjustment of the Securities and Commodities Authority (SCA), as amended (the SCA Rulebook), the securities to which this document relates may only be promoted in the UAE (excluding the DIFC and ADGM) as follows: without the prior approval of SCA, only in so far as the promotion is directed to: a person who meets the definition of a "professional investor" under the SCA Rulebook; or (ii) following a 'reverse' (i.e., unsolicited) enquiry by an investor. Further, this report does not constitute a public offer of securities in the United Arab Emirates (including the DIFC and the ADGM) and is not intended to be a public offer. The SCA has not verified the report or other documents in connection with the securities that are discussed therein. Accordingly, the SCA has not approved this report or any other associated documents nor taken any steps to verify the information set out in this report. The SCA may not be held liable for the accuracy or completeness of the information in the report. The securities to which this report relates may be illiquid or subject to restrictions on their resale. Prospective investors should conduct their own due diligence on the such securities. If you do not understand the contents of this report you should consult an authorised financial advisor.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

United Kingdom: In the UK, this report is being distributed by BNP Paribas London Branch. 10 Harewood Avenue, London NW1 6AA; tel: +44 20 7595 2000; fax: +44 20 7595 2555- www.bnpparibas.com. Incorporated in France with Limited Liability. Registered Office: 16 boulevard des Italiens, 75009 Paris, France. 662 042 449 RCS Paris. BNP Paribas is authorised and regulated by the European Central Bank and the Autorité de contrôle prudentiel et de résolution. BNP Paribas is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Prudential Regulation Authority are available from us on request. BNP Paribas London Branch is registered in the UK under number FC13447. UK establishment number: BR000170. UK establishment office address: 10 Harewood Avenue, London NW1 6AA. This report is intended for distribution to, and is directed at: (a) persons in the UK having professional experience in matters relating to investments and who fall within the definition of "investment professionals" in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise be communicated lawfully (all such persons being "Relevant Persons"). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it.

United States and Canada: BNP Paribas Securities Corp. is registered and regulated by the Financial Industry Regulatory Authority ("FINRA") (CRD# 15794) and the U.S. Securities and Exchange Commission. BNP Paribas Securities Corp is a FINRA member firm and broker-dealer registered with U.S. Securities Exchange Commission. With respect to any United States persons who are institutional investors BNP Paribas Securities Corp. is the distributor of this research report. This report is not intended for retail investors. Any United States person wishing to obtain further information or to effect a transaction in any security discussed in this report should do so only through BNP Paribas Securities Corp., which has distributed this report in the United States and, subject to the above, accepts responsibility for its contents. With respect to clients domiciled in Canada, BNP Paribas Securities Corp. is the distributor of this research report operating under the "general adviser exemption" or the "international dealer exemption". BNP Paribas Securities Corp. does not distribute this research report in any other jurisdictions.

Other Jurisdictions: The distribution of this report in other jurisdictions or to residents of other jurisdictions may also be restricted by law, and persons into whose possession this report comes should inform themselves about, and observe, any such restrictions. By accepting this report you agree to be bound by the foregoing instructions. This report is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation.

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology

BNP PARIBAS

General Information

This report including embedded research reports is for the use of intended recipients only and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without our prior written consent. By accepting this report, the recipient agrees to be bound by the terms and limitations set forth herein. This report does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual recipients. Recipients are advised to use the information contained herein as just one of many inputs and considerations prior to engaging in any trading activity and to seek advice from a financial advisor, taking into account their specific investment objectives, financial situation or particular needs, prior to committing to purchase any investment product. This report does not constitute a prospectus or other offering document or an offer or solicitation to buy or sell any securities or other investments. This report is not intended to provide the sole basis of any evaluation of the subject securities and companies mentioned in this report. Information and opinions contained in this report are published for reference of the recipients and are not to be relied upon as authoritative or without the recipient's own independent verification, or taken in substitution for the exercise of judgment by the recipient. Additionally, the products mentioned in this report may not be available for sale in certain jurisdictions.

All information contained in this research report and any embedded reports has been compiled from sources believed to be reliable. However, no representation or warranty, express or implied, is made with respect to the completeness or accuracy of its contents, and it is not to be relied upon as such. Opinions contained in this research report represent BNPP's current opinions on the date of the report only. BNPP is not soliciting an action based upon it, and under no circumstances is it to be used or considered as an offer to sell, or a solicitation of any offer to buy.

While BNPP endeavours to update its research reports from time to time, there may be legal and/or other reasons why BNPP cannot do so and, accordingly, BNPP disclaims any obligation to do so.

BNPP does, and seeks to do, business with companies covered in its research reports, and expects to receive or intends to seek compensation from such companies. Investors should be aware that BNPP may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. In the normal course of its business, BNPP, as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

This report is provided solely for the information of professional/wholesale investors who are expected to make their own investment decisions without undue reliance on this report and BNPP accepts no liability whatsoever for any direct or consequential loss arising from any use of this report or its contents.

Investing in non-U.S. securities, including the ADRs of such securities, may involve certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on non-U.S. securities. Non-U.S. companies are generally not subject to uniform audit and reporting standards, practices, and requirements comparable to those in the U.S. The securities of some non-U.S. companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a non-U.S. stock and its corresponding dividend payment for U.S. investors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

As an investment bank with a wide range of activities, BNPP may face conflicts of interest, which are managed under applicable legal provisions and internal policies and guidelines. You should be aware that BNPP may engage in transactions in a manner inconsistent with the views expressed in this document, either for its own account or for the account of its clients.

Other businesses within BNPP may have issued other publications that may or may not be consistent with the views expressed in this report.

In the normal course of its business, BNPP as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

BNP Paribas may use AI Tools to assist in the preparation of reports and/or other materials. Notwithstanding any such use of AI Tools, all presented forecasts and recommendations are made by the BNP Paribas personnel identified in the relevant report. For the avoidance of doubt, you are not permitted to use AI Tools that have not been provided by or made available by BNP Paribas in connection with this document or the information herein, without our express prior written consent. For the purposes of this section, "AI Tools" means machine-based systems designed to operate with varying levels of autonomy and that may exhibit adaptiveness after deployment and that, for explicit or implicit objectives, infer, from the input they receive, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments.

All research reports are disseminated and available to all clients simultaneously on our website: https://cube.cib.bnpparibas. For additional disclosures, rating and target price history, stock price charts, valuation and risk applicable to the subject company/ies, go to our website: https://cube.cib.bnpparibas, or contact the relevant BNPP research team, author(s) of this report or your BNPP representative.

Should you require additional information concerning this report please contact the relevant BNP Paribas research team or the author(s) of this report.

© 2026 BNP Paribas Group

shkreli@mit.edu Martin Shkreli 10/08/26 12:44:56 AM Massachusetts Institute of Technology